

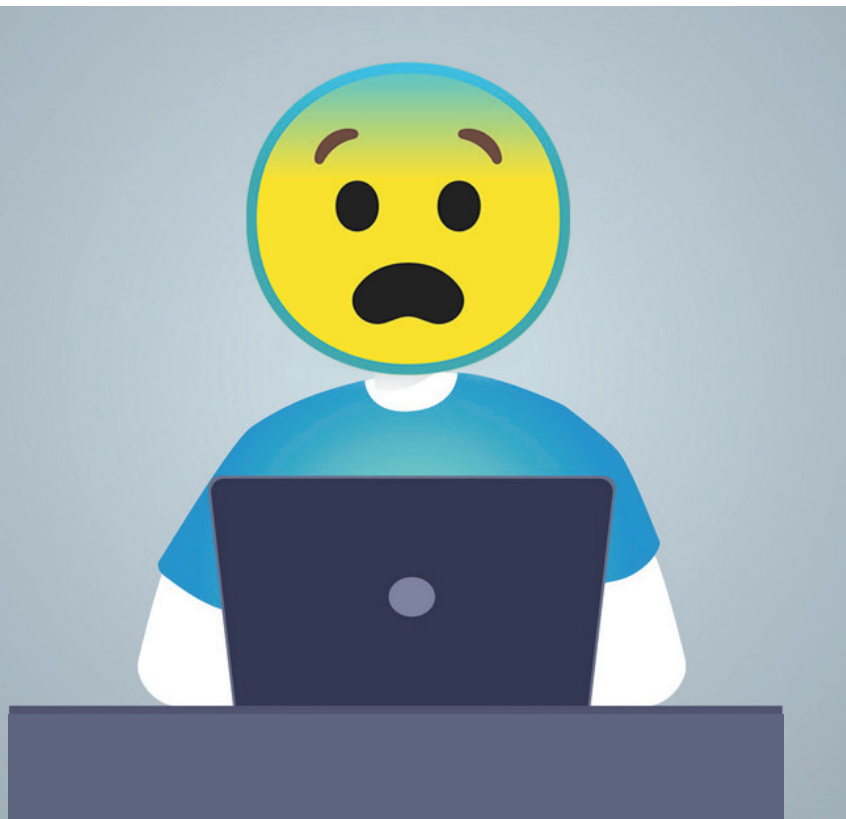


ILLUSTRATION BY ANIRBAN GHOSH

affordable rates,” it had said.

As maximum approval becomes the mandate, allegations of mis-selling arises where sales professionals do not clearly communicate to customers that they are signing up for a loan, which may deter some.

“When the edtech firm acts as a guarantor, it becomes more like a secured loan for the lender. Many fundamental protocols and basic checks are sacrificed... an edtech player is trying to sell a course and a fintech

is trying to increase its AUM as both want to grow their valuations and get the next round of funding,” says the founder of an NBFC on condition of anonymity. Consequently, loan default rates have been skyrocketing lately with some players in the K12 segment witnessing non-performing assets to the tune of 20-25 per cent, he says.

There is more to it. NCPCR says these partnerships between edtech platforms and financial institutions

are illegal because as per the Reserve Bank of India’s guidelines for education loans, there is no provision to provide loans to parents for tuition of their children. “There is no mention [in the RBI guidelines] that financial institutions can give loans for the purpose of tuition. Is providing personal loans part of their business?” asks Kanoongo. He says non-payment of such loans will affect the credit score of parents, which in turn can impact their children’s future chances of getting loans for higher education as the parents wouldn’t be eligible to act as guarantors. Also, he says that these loans put children under stress as it becomes difficult for them to discontinue an online programme if they wish to, as their parents wouldn’t let them due to the loans they have taken. The commission says it will approach RBI with a recommendation to ensure proper implementation of the guidelines.

“Nobody is going to verify if it (BYJU’S) is doing the affordability test. It’s not like the commission will employ an auditor to audit or to certify it. The tone at the top has been about valuations, and not values. This looks more like a PR exercise from BYJU’S, rather than a genuine attempt,” says Shriram Subramanian, Founder & MD of InGovern Research Services.

As things stand, it is still unclear as to how the company plans to take care of the issue, and it needs to be seen how the child rights commission will proceed with the case. **BT**

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▶ **Experts say edtech platforms demand maximum loan approval from lending partners irrespective of the financial status of customers and act as guarantors for such loans to ensure better sales**

▶ **NCPCR says it is illegal for banks and NBFCs to offer loans for tuition via edtech firms like BYJU’S as there is no such provision in RBI’s guidelines for education loans**

▶ **The NCPCR chief says non-payment of such loans (by parents) may affect a child’s future chances of getting loans. These loans also put children under undue pressure**